Globalisation and the Indian Economy

Social Science — Economics • Chapter 4 • *Chapter Summary & Study Guide for Daksh*

When you wear sneakers made in Vietnam, eat noodles flavoured by Italian sauce, watch a Hollywood film on a Korean TV set — you are inside the network of **globalisation**. This chapter explains what globalisation means, how Multinational Corporations (MNCs) drive it, the role of foreign trade and the WTO, and how globalisation is changing the lives of Indian workers, farmers and consumers — bringing both gains and pains.

What is globalisation?

Globalisation is the process of rapid integration of countries through greater foreign trade and foreign investment. Goods, services, capital, ideas and people move more freely across borders than ever before — although there are still many restrictions on the movement of people.

MNCs — drivers of globalisation

A **Multinational Corporation (MNC)** is a company that owns or controls production in more than one country. MNCs choose locations based on:

- Cheap and skilled labour (e.g. Indian software professionals).
- Closeness to markets (large consumer base — China, India).
- Government policies that favour them (tax breaks, special economic zones).
- Availability of raw materials, infrastructure (ports, roads, electricity, IT).

How MNCs spread production:

- Setting up production jointly with local companies — **joint venture**.
- Buying up local companies (mergers and acquisitions) — e.g. Cargill (US) bought Parakh Foods.
- Placing orders with small producers — Wal-Mart sells goods made by small Indian and Bangladeshi suppliers.
- Direct investment in subsidiaries — Suzuki's plant in India.

Such investment is called **Foreign Investment**. The interconnected production network across countries is the **global value chain**.

Foreign trade and integration of markets

Foreign trade allows producers in one country to reach buyers in another. It opens up:

- More choice for consumers (variety of brands and goods).
- Producers can compete in markets across the world.
- Prices of similar goods **tend to equalise** across markets.
- Faster integration of markets — buyers in distant lands compete for the same goods.

What helped globalisation?

- **Technology** — telecom, computers, internet (information at lightning speed); container shipping cut transport costs.
- **Liberalisation of trade and investment** — removal/lowering of barriers like quotas, taxes (tariffs).
- Government policies in many developing countries (India: reforms from 1991) that opened economies to MNCs and trade.

WTO — World Trade Organization

The **WTO (1995)**, which succeeded the GATT, is an international organisation aimed at liberalising international trade. It lays down rules to which all member countries (164+) agree. Issues:

- WTO is supposed to ensure free, fair trade — but in practice developed countries push less developed countries to remove protection while continuing their own farm subsidies.

- Critics say WTO favours rich economies; supporters say it is a forum to resolve disputes.

Impact of globalisation on India

Globalisation has been a mixed blessing:

- **Benefits** — Greater choice for consumers (cars, electronics, food, clothes); Indian companies have become globally competitive (Tata Motors, Infosys, Reliance, Asian Paints, Sundaram Fasteners); new jobs in IT, BPO, retail, hospitality; foreign investment flowed in.
- **Costs** — small producers in toys, dairy, batteries faced tough competition from Chinese imports; many shut down or shrank; in plantations and mines, large workforces have been replaced by contract labour with poor wages and few benefits.
- **Inequality** — globalisation has helped skilled and educated Indians more than the unskilled.

The struggle for fair globalisation

Fair globalisation means making sure everyone gets benefits, not just a few. Government can:

- Implement labour laws so workers' rights are protected.
- Support small producers with credit, infrastructure and training.
- Use trade negotiations and WTO to ensure rich-country protectionism (farm subsidies) is also reduced.
- Use a mix of incentives and regulations to ensure MNCs operate fairly.

★ MUST-REMEMBER POINTS

- Globalisation = rapid integration of countries through trade and investment.
- MNC = company that owns/controls production in more than one country.
- MNCs spread production via joint ventures, buying companies, orders to small producers, FDI.
- Tariffs/Quotas/Trade barriers reduced → liberalisation.
- WTO (1995, after GATT) — sets rules for international trade. 164+ members.
- India opened up its economy in 1991 (LPG reforms — liberalisation, privatisation, globalisation).
- Globalisation in India: gain for skilled/IT workers, big firms; pain for small producers, unskilled workers. Need 'fair globalisation'.

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